

Assignment 1

Nº alumno: XXXXX

Why do wireless communication providers sell plans where two people can talk about 600 minutes for only \$2000 a month while a 200 minutes plan costs more than \$7000?

Nowadays having a cell phone is almost a need. From small children who have to contact their parents, passing through the university students who used them as the mean to contact all their friends and classmates, to the high executives that have to coordinate meetings and conferences.

Of course, this higher demand for cell phones services has increased their prices, although many new providers have entered the market. In addition, the need of internet in our cell phones to check our mail almost everywhere or to be able to use Whatsapp, allow providers to charge more for the plans of voice and internet. For us to have an idea, the market works like this: providers give you the cell phone almost at zero cost on condition to sign an 18 month contract that considers paying the plan. For example, a plan that is only for voice, this means no internet, with about 50 minutes is over \$7000.

Surprisingly, wireless communication providers lately began to offer a special voice plan which name is "states". States plan means that providers sell two very basic cell phones together for a very cheap price (less than \$15000); for an amount of \$2000 a month each state cell phone has 300 minutes to talk to the other state cell phone. It seems crazy that companies allow you to talk for free! What's happening then? Since cash on the table does not exist, of course there is a reason that makes these companies want to sell this plan.

First of all, the thing is that if you talk with your state cell phone to another number (i.e. not to the other state cell phone) you are charged about \$200 per minute which is about 2.5 times the charge per minute in a normal voice plan. So then, they expect you to forget this and to use this state cell phone for other calls because probably you will have it with you all the time. In that case, your cell phone load will decrease very fast. If you come to zero, you can't use the state benefit, so they force you to charge money again; money you would probably spend talking to other numbers when you forget how expensive calls in that cell phone are.

Secondly, these cell phones are very old models, so their batteries last a very long time. This comparison is more amazing when you compare these batteries to the one of smartphones. Considering you will probably have your smartphone and your state cell phone with you, when the smartphone battery runs out, the only way that you will have to communicate is your state cell phone. So, these long life batteries imply that you increase the amount of calls to other numbers.

In conclusion, expensive charges and long life batteries give the wireless communication providers the great opportunity to offer state plans, which at the beginning will probably make us happy too!